

Table 9.9 Strategy Summary Statistics (1/1927–12/2014)

Rank	Date Start	Date End	S&P 500	LTR
1	8/30/1929	5/31/1932	−84.59%	13.55%
2	10/31/2007	2/28/2009	−50.21%	20.55%
3	8/31/2000	9/30/2002	−44.41%	33.46%
4	12/31/1972	9/30/1974	−42.73%	−6.05%
5	8/31/1987	11/30/1987	−29.58%	2.55%
6	11/30/1968	6/30/1970	−29.23%	−8.02%
7	12/31/1961	6/30/1962	−22.33%	3.97%
8	5/31/1946	11/30/1946	−22.17%	−0.71%
9	11/30/1980	7/31/1982	−16.53%	17.87%
10	1/31/1966	9/30/1966	−15.79%	−0.18%
11	6/30/1998	8/31/1998	−15.18%	3.70%
12	7/31/1957	12/31/1957	−15.13%	8.86%
13	5/31/1990	10/31/1990	−14.82%	3.59%
14	12/31/1976	2/28/1978	−14.46%	−1.45%
15	7/31/1956	2/28/1957	−9.90%	−0.65%
16	2/29/1980	3/31/1980	−9.75%	−3.15%
17	8/31/1978	10/31/1978	−9.43%	−3.04%
18	12/31/1952	8/31/1953	−9.01%	−1.66%
19	12/31/1959	4/30/1960	−8.42%	4.29%
20	8/31/1986	9/30/1986	−8.32%	−2.07%

As highlighted above, when it comes to our bond exposure, “If it ain't broke, don't fix it.” This sort of logic doesn't apply to real estate exposures. A large body of research suggests that there are systematic ways to improve on passive real estate investment exposures. For example, in a 2009 paper in the *Financial Analysts Journal* written by Derwall et al.,¹⁰ they find that “REITs exhibit a strong and prevalent momentum effect that is not captured by conventional factor models.” To verify this claim, we examine all REITs from the CRSP database with share code = 18 (REITs) as well as those